

Q1 | 2025

THE HAIG REPORT®

The longest-published
report in auto retail
tracking trends and their
impact on dealership
values.

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OVERVIEW

The auto retail industry is in a confusing place. On the one hand, auto sales are up and profits are strong. On the other hand, newly imposed tariffs have spooked many OEMs and consumer confidence has plunged to near record lows. There is some general faith that “things will work out – this is just the way Trump negotiates,” but it seems likely there will be some lingering tariffs that will cause pain to many for some time.

At the moment, auto dealers are feeling pretty confident. They have seen the auto retail business model endure all kinds of shocks and emerge highly profitable. Our friends tell us that they believe there will be a period of a few months to a year when the tariffs bite and profits may suffer. And then they believe there will be an extended period of economic growth that will lift consumer confidence, drive sales back above 17 million units, and boost dealership profitability.

In terms of the buy-sell market, things are also a little confused. We have never seen more demand for dealerships, as almost every day we are contacted by an existing dealer, a want-to-be dealer or an investor expressing their interest in buying dealerships. But so far in 2025, the number of dealerships sold has plunged by 57% from Q1 2024. Perhaps buyers and sellers were on the sidelines during the presidential election that went on during Q4 last year.

As for our own practice, we advised on the sale of 54 dealerships in 2024. Several of these dealerships sold for record high prices for

their franchises as earnings remained strong. But we also began to see some dealerships falling into loss positions, leading to their owners choosing to sell them for just a few million dollars in blue sky.

As we turn to 2025, our list of client engagements has never been stronger. We have closed on the sale of 18 dealerships, have another 36 dealerships pending closing and are in-market with another 16 dealerships. Only one of these transactions has been impacted by tariffs, with a buyer for an Audi dealership asking for a pause until they can assess the impact on that brand. And the pricing for almost every transaction has been strong. We have seen no diminution of dealership values so far from tariffs. In our Q4 2024 report, we made eight changes to blue sky multiples to reflect changing pricing for dealerships. In this report, we make none.

We believe that one reason auto dealers are calm is because they are making investments based upon a very long timeline – 20 years or more. They are less concerned about short-term economic issues, and more concerned with choosing the right franchises, retaining the best talent and treating their customers well. If they perform in the areas that they can control, dealers are confident the next few decades in auto retail will be as successful as the past few.

CARB WAIVERS REVOKED!

Dealers, consumers and OEMs rejoice! On May 22nd, the Senate voted to revoke California's emissions waivers, putting an end to the “California EV Mandate”, at least for now. California, along with 16 other states and the District of Columbia, have been pulled from the edge of a legislative cliff that would have likely resulted in a dramatic reduction of new vehicle sales in affected markets. While we agree wholeheartedly with California's pursuit of cleaner air and a cooler climate, we believe there are better ways to pursue them than this legislation. The automotive industry wants to sell what consumers want. And to that end, we believe the Senate made the correct decision, and one that will continue allowing American families freedom of choice while simultaneously protecting critical American jobs.

BUY-SELL TRENDS

Buy-Sell Market Plummets in First Quarter

 **57%**
decline in
rooftops traded
from Q1 2024

Auto dealership buy-sell activity plummeted in the first quarter of 2025. According to our research and data from Automotive News, 68 rooftops traded hands in the

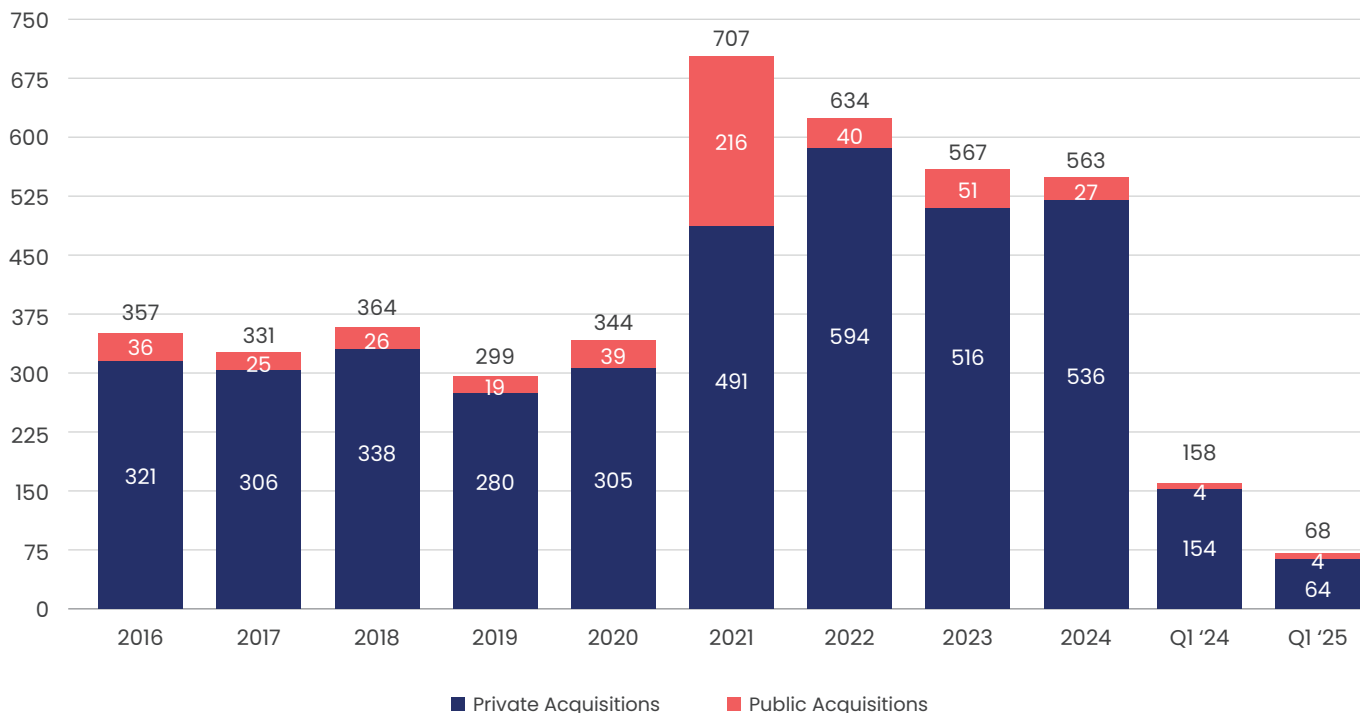
first quarter of 2025, a 57.0% decline from the first quarter last year. The Q1 slowdown arrived in stark contrast to 2024, which saw 563 dealerships sold – making it the fourth-busiest year for dealership buy-sells. Q1 2025 was the slowest first quarter for dealership M&A since 2015. We are surprised by this decline since the market feels very active to us. When we query leading buyers and the buy-sell attorneys to get their opinions about the slowdown, they respond that they believe the presidential election that went on in the 4th quarter of last year is a potential explanation. Buyers wanted to know what kind of regulatory environment they were going to be operating in before handing over big amounts to purchase dealerships. And perhaps some potential sellers wanted to wait for more certainty about the future, with the hopes that their dealerships would be worth more if President Trump were re-elected. As a result, few buy-sells were put together in the fourth quarter of 2024 that would have closed in the first quarter of 2025.

Of the 68 dealerships sold in Q1, 64 were acquired by private dealers. This ~90% ratio of private/public activity is about the same as what we have seen in recent years. Lithia and AutoNation were

the only public retailers that acquired stores in Q1 2025. Despite this slow start, nearly all the public retailers stated in their Q1 '25 earnings calls that acquisitions remain a strategic priority, and they continue to evaluate accretive opportunities.

Looking ahead through the balance of 2025, we anticipate an increase in buy-sells. We can look to our own transaction pipeline as a good gauge of overall market activity. Last year, our firm represented dealers in the sale of 58 dealerships across the US, about 10% of all dealerships sold in 2024. We were pleased to help our clients achieve record-setting blue sky prices for BMW, Honda and Kia dealerships. So far in 2025, we have closed on the sale of 18 dealerships and have another 36 dealerships that are under letter of intent or have signed definitive agreements that are pending closing. Assuming we close all of these transactions, we will advise on the sale of 54 dealerships, close to the same number as last year. And we have several other transactions that are in market now. We also expect that the public companies will be more active this year as we reach more normal levels of profitability, and the impact of tariffs becomes clearer. We advised on the sale of Mercedes-Benz of South Austin to Group 1 this month, and Asbury's acquisition of Herb Chambers, which represents 33 dealerships, is expected to close in the second quarter. The value paid for these two transactions alone will about equal the amount spent by the public companies for US auto dealerships in all of 2024.

U.S. DEALERSHIPS BOUGHT/SOLD



Note: 2024 transaction volumes expected to rise over time as news of additional transactions reaches the public

Source: Automotive News, SEC Filings, The Banks Report, Haig Partners

Public Company Acquisitions Slowed to a Near Standstill in Q1

The publicly traded auto retail companies had a very slow first quarter in terms of acquisitions. These consolidators, including Asbury, AutoNation, Group 1, Lithia, Penske, and Sonic, spent just \$174M on acquisitions in Q1 2025, a 91.1% decrease compared to what the publics spent in Q1 last year.

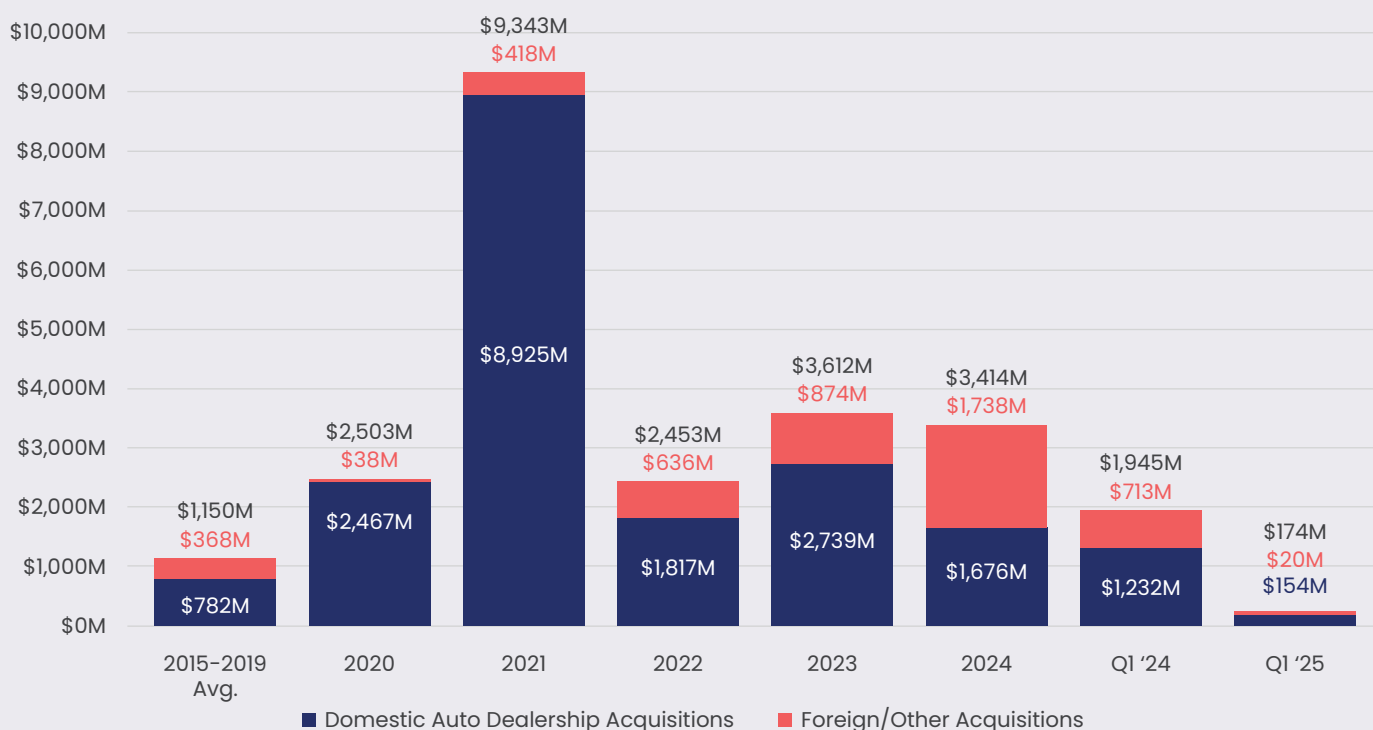
In terms of domestic auto dealership acquisitions in Q1 2025, AutoNation acquired Mazda and Ford dealerships in Colorado and Lithia acquired Subaru dealerships in Virginia and California.

And as we stated earlier, Asbury expects to close the 33-store Herb Chambers deal in Q2 and Group 1 has acquired a Mercedes-Benz

dealership in TX for amounts which will be far more than what the publics spent in the first half of 2024.

In a continued trend, U.S. auto retail companies are expanding overseas to continue building value for shareholders. In the first quarter, Group 1 acquired four dealerships in the U.K., bringing their total up to 116 dealerships across the pond. Over the past year, Group 1 has spent \$655M on international acquisitions and \$0 on domestic U.S. dealership acquisitions. But in their Q1 2025 earnings call, Group 1, along with all their publicly traded auto retail counterparts, stated that they are continuing to monitor the marketplace for desirable acquisition opportunities.

PUBLIC COMPANY ACQUISITION SPENDING



Source: SEC Filings



"We haven't seen a big impact in the M&A environment. However, it does—it has appeared to be softening over the last, I would say, 3 to 4 months. But specific to the start of March, we haven't seen any major changes."

— Bryan B. DeBoer Lithia Motors, Inc. CEO, President & Director

Haig Partners National Average Blue Sky Multiples

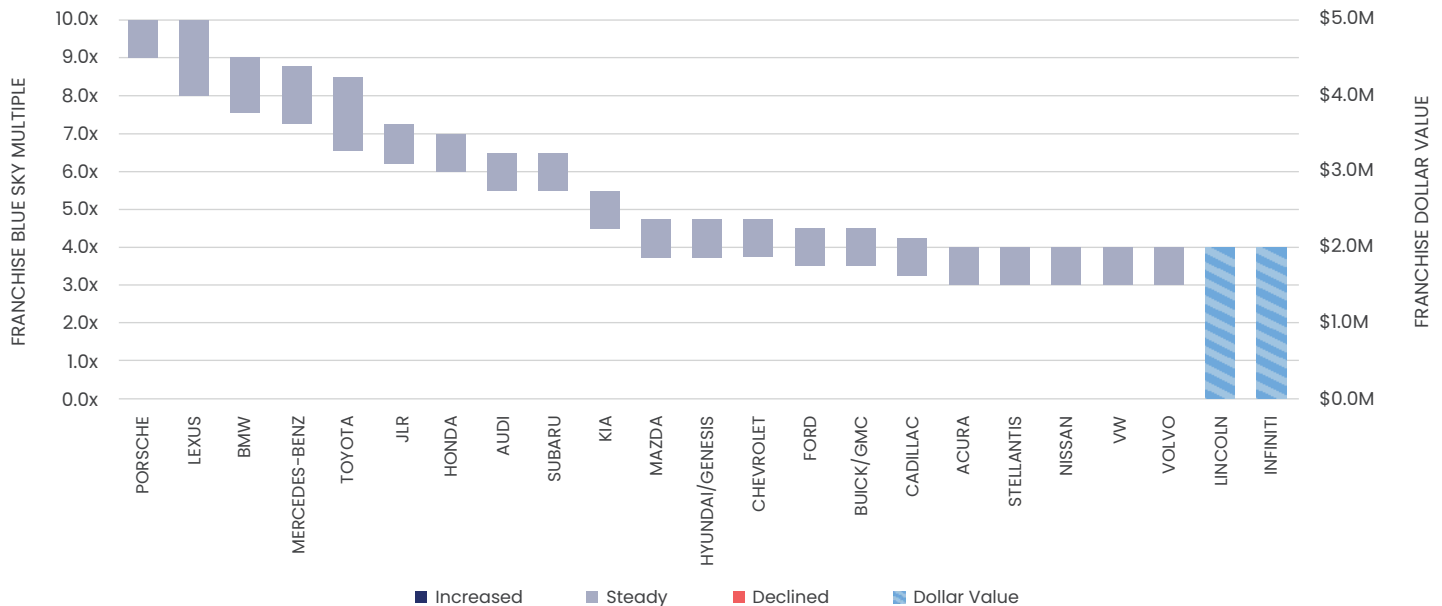
We carefully monitor the buy-sell market to assess the desirability of various franchises and overall market conditions. We analyze offers for transactions we are involved in and regularly speak with leading dealership buyers as well as attorneys, bankers and CPAs involved in acquisitions.

Most buyers base their blue sky offers on a multiple of the expected future cash flows. The amount of goodwill they are willing to pay is based upon what their targets are for return on investment, internal rate of return, payback period, or other valuation methodologies buyers choose. In general, franchises that provide high profits, growth and safety bring the highest multiples. Franchises that are declining, are “over-dealered” or are perceived as risky bring the lowest multiples.

After making a record eight changes to our National Average Blue Sky Multiples in our last report, **we did not find sufficient evidence to merit any changes to multiples in the first quarter of 2025.** If tariffs hold, they will likely have a significant impact on dealership profits, and therefore the prices that buyers will be willing to pay for acquisitions moving forward. As the impact of these new tariffs is felt over time, the franchise multiples published in this document will continue to reflect the pricing trends that we observe in the marketplace.

The multiples set forth in the chart below reflect the pricing that we believe the market will yield for various franchises that perform at average levels during a competitive sales process. The actual blue sky multiple paid by a buyer can vary significantly from these levels for reasons we have set forth below.

HAIG PARTNERS NATIONAL AVERAGE BLUE SKY MULTIPLES



Source: Haig Partners

FACTORS IMPACTING MULTIPLES



Blue Sky Values Nearly Unchanged from 2024

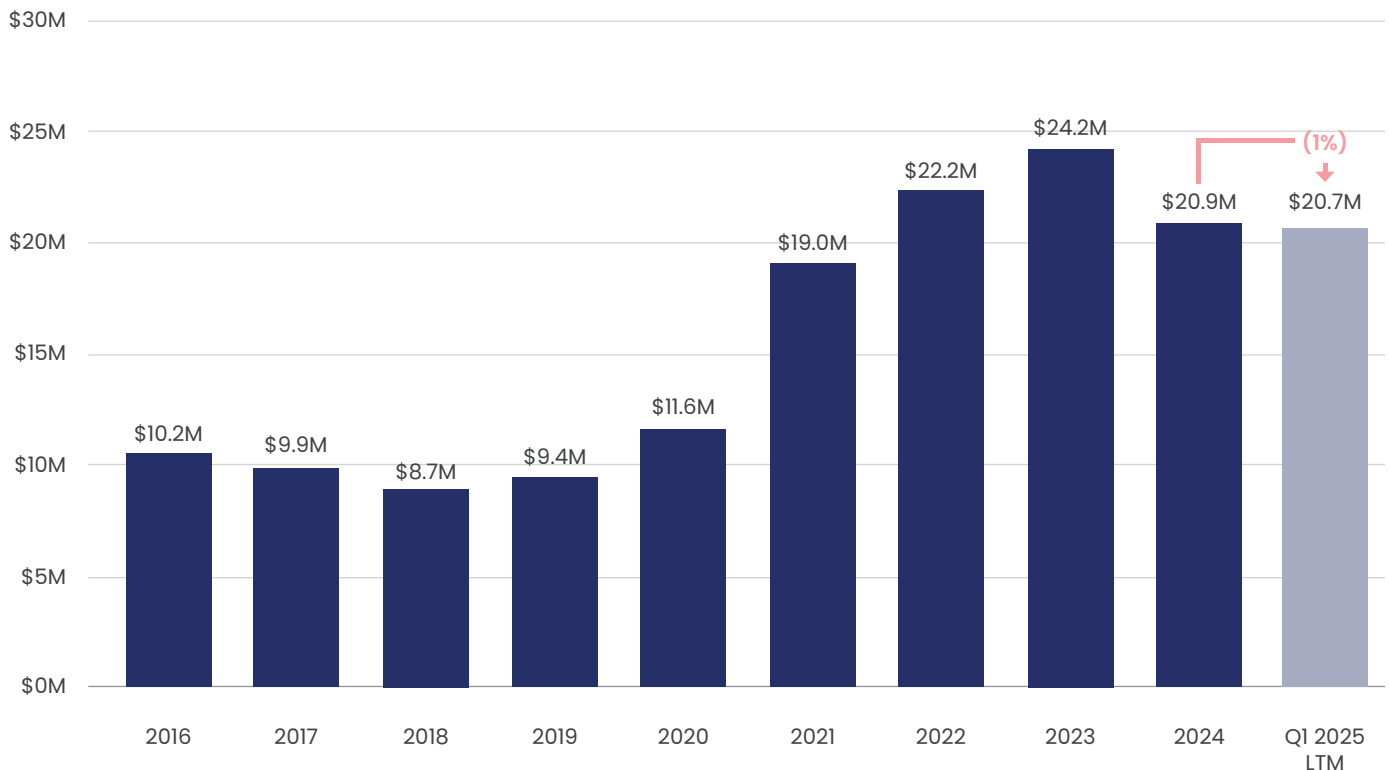
The average publicly owned auto dealership in the U.S. had an estimated blue sky value of \$20.7M in Q1 2025, a 1.0% decrease from 2024. At this level, the blue sky value for an average dealership is more than twice as much as it was in 2019, the year before the pandemic. Blue sky values are set by buyers and depend on their expectation of future profits. Profits and blue sky values peaked in 2023 and have been declining since then, but the rate of decline in dealership earnings slowed significantly in Q1, alleviating negative pressure on blue sky.

It is not clear what will happen with dealership profits over the next three quarters. We don't yet know if OEMs will absorb the higher costs, or if they will be paid by the customer or the dealer, or some combination of all three. It's also possible the Trump administration will cut a "deal" with global automakers that will soften near term tariffs in return for long-term commitments to manufacture more in the US. If the current tariffs remain in place, some customers will no doubt push back on paying more for vehicles and parts. But there is still significant pent-up demand as sales have been well below historical averages for six years now. In addition, economists are still predicting two to three interest rate cuts between now and year end. And customers may choose to repair their vehicles instead of buying new ones, which will further boost fixed operations. For these reasons, dealership profits could remain level or even grow from what we are enjoying today.

Despite the noise in today's environment, many buyers feel confident that dealerships will continue to generate strong profits long into the future. For this reason, buyers today offering on average performing dealerships are typically using a multiple of current earnings rather than factoring in any decline in earnings. Buyers believe the impacts of the tariffs will be short lived, so if the right dealerships come along in a market that they like, they are making strong offers. To have a confidential discussion about what your dealership or dealership group could be worth, please reach out to any member of our team. We frequently provide no-cost consultations to dealers considering acquiring or divesting stores.

ESTIMATED AVERAGE BLUE SKY VALUE

Based on Public Group Earnings



Source: Haig Partners & SEC Filings

AutoNation

"First of all, all of our capital allocation is based on where we think we can develop the greatest returns. As it happened in the quarter, we identified some good acquisition opportunities."

—Thomas A. Szlosek AutoNation, Inc. – Executive VP & CFO

TRENDS IMPACTING AUTO RETAIL

There are a lot of mixed messages in the current economic data. Analysts must be throwing up their hands trying to give guidance to investors about the direction of our economy and whether to buy or sell, invest or divest, or just sit on the sidelines and wait until conditions settle.

Labor Market Outperforms Expectations in April

With all of the economic noise in Q1, there was an abnormal amount of focus on the April jobs report. Economists and policymakers were worried that the disruptions caused by President Trump's tariffs would lead U.S. employers to invest less, leading to a slowdown in the labor market. But fortunately, April's jobs report landed with a bang! In April, the U.S. economy added 177,000 jobs, far exceeding the projected gain of 135,000. Barring any future downward revisions, April's gains were stronger than the average rate of gains observed throughout Q1, a sign of resilience during a period in which employers were under an abnormal level of economic uncertainty. The unemployment rate was 4.2% in April, a low level unchanged from March and in-line with expectations.

Inflation Slows, Spending Accelerates

The core Personal Consumption Price Index ("PCE"), which the Fed utilizes as its preferred measure of inflation, rose 2.6% year-over-year in March, nearing the Fed's long-term inflation target of 2.0%. But on a month-over-month basis, core PCE, which eliminates highly variable costs like food and energy, was nearly unchanged. March marked the lowest month-over-month core PCE increase in nearly five years, suggesting a slowdown in inflation.

We were wondering if the auto industry would have been a cause for inflation in Q1, as some customers rushed out to purchase vehicles before the impact of tariffs made its way into MSRP. According to the March PCE report, consumers spent 56.5% more on motor vehicles & parts than they did in March 2024, claiming the greatest year-over-year spending increase across any vertical. Thankfully, the vehicles they purchased must have been about the same prices as those purchased last year.



"As the scale and scope of the new tariff approach became more clear, we saw a rise in demand in late March as consumers purchased vehicles ahead of the potential price increases."

— David Bruton Smith, President/CEO/Director, Asbury

Interest Rates Held in Place Due to Economic Uncertainty

During its May meeting, the Fed decided to maintain the previous target rate of 4.25–4.50%, despite increasing pressure from the current administration. The Fed decided to hold rates at this elevated level for two main reasons: inflation remains above the Fed's 2% target, and the economic outlook is abnormally cloudy, with tariffs being a likely source of near term inflation.

The Federal Reserve has two primary objectives, called a "dual mandate". The Fed's dual mandate states that the bank must both keep prices stable and maximize employment. And right now, the high level of economic uncertainty is making it challenging for the bank to assess whether it should focus more on supporting employment or constraining inflation. According to Fed chair Jerome Powell, "We've judged that the risk to higher inflation and unemployment has risen," pointing to recent drops in consumer and business sentiment. But Mr. Powell had to caveat this statement by stating that these shifts in sentiment had not yet translated to hard economic data. Due to this uncertainty, we expect that the Fed will react slowly and cautiously this year, with fewer and later rate cuts than what was anticipated in late 2024.

Tariffs

The situation with tariffs is fluid, with negotiations going on constantly between OEMs, foreign governments and the US government. Almost every week we learn of changes to the previous tariff regulations. The good news is that the level of tariffs appears to be going down, in some cases significantly. Prices will still likely be higher than they would have been otherwise, but OEMs have already begun to adjust their sourcing, production and model mix to compensate. Many dealers we speak to believe that tariffs will not be a catastrophe, but yet another challenge they will have to navigate.

Consumer Confidence Falls for Fourth Straight Month

The consumer confidence index fell for the fourth straight month in April, plummeting 32.4% year-over-year to 52.2 out of a possible 100. In April, sentiment fell unanimously across different age groups, geographies, income levels and political affiliations. According to the University of Michigan, which has tracked consumer confidence for decades, consumers in April reported warning signs that increase the risk of a recession, including deteriorating expectations for business conditions, personal finances, incomes, inflation and labor markets. Consumers also expect unemployment to rise significantly throughout the remainder of the year. Preliminary numbers for May are even worse, with the consumer confidence index trending towards 50.8 out of 100, down 3% from April, the second lowest on record. Year-ahead inflation expectations also surged from 5.0% in March to 6.7% in April, the highest reading since 1981. Consumers are clearly worried about the current direction of our economy.

CONSUMER SENTIMENT



Source: University of Michigan

TEXAS

Jeff Swickard

SWICKARD AUTO GROUP



SOLD TO

GROUP 1
AUTOMOTIVE®

*"I would like to thank Alan Haig of Haig Partners for helping me to identify the best buyer for Mercedes-Benz of South Austin. This is the second dealership he has assisted in selling for our company, and I have also purchased multiple dealerships he was representing. **Alan has a unique ability to identify the best counterparty in a buy-sell without running a big auction process that causes rumors to spread, and his calm and thoughtful manner helps to get transactions done smoothly. I have developed complete trust in him over the years.**"*

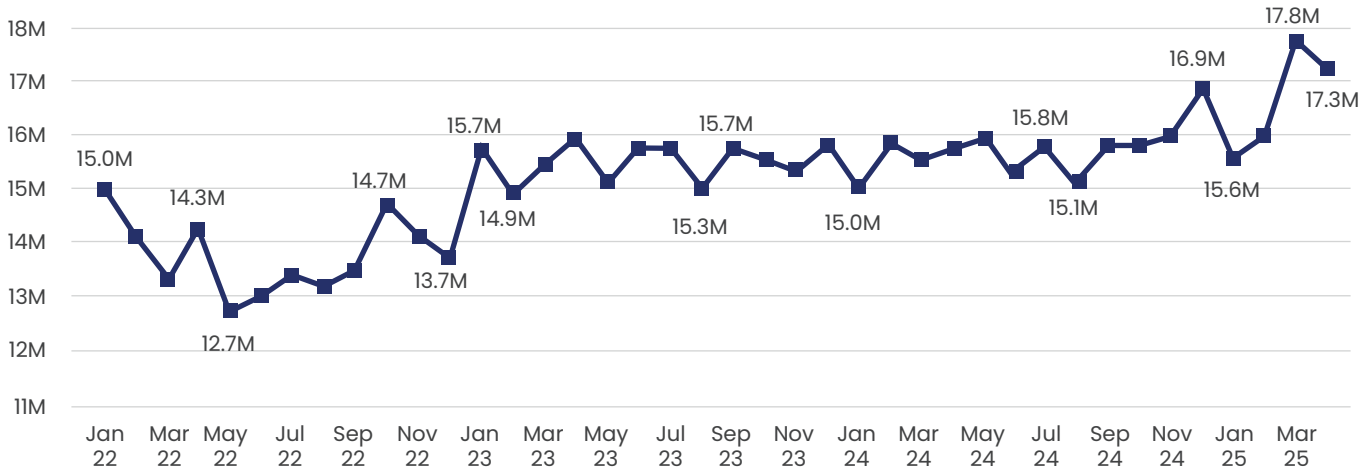
- Jeff Swickard, Former Owner, Mercedes-Benz of South Austin

SAAR Soars in Early 2025

Sales volumes shot up in Q1 2025, with March and April's SAAR both topping the 17.0M mark. The SAAR for the first four months of 2025 was 16.7M, 7.1% higher than the same period of 2024. According to Wards Intelligence, the SAAR in March and April would have been near 16.0M had it not been for a tariff-fueled shopping spree during those two months.

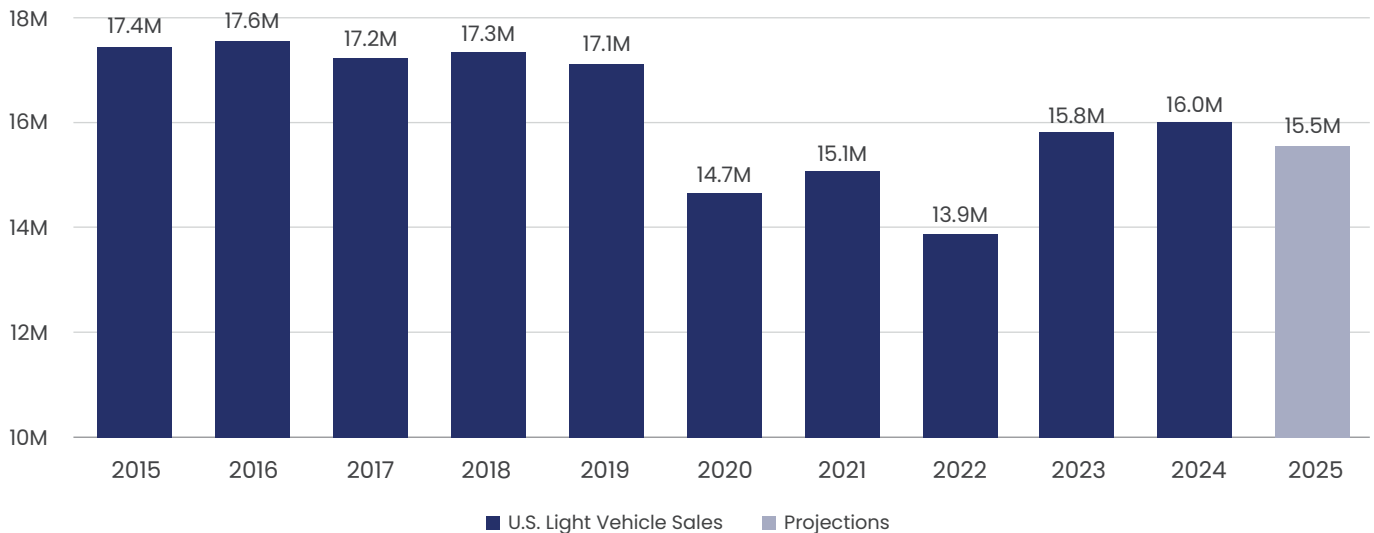
Inventories on the ground and in-transit experienced a year-over-year decline in April, the first in three years. If this sales rate continues, inventories are expected to decline further particularly as OEMs consider slowing production while the tariff situation is fluid. Due to widespread uncertainty around President Trump's tariffs, many automotive retail thought leaders like NADA and Cox Automotive have downgraded their SAAR projections for 2025. NADA, for example, downgraded their 2025 SAAR projection from 16.2M in December to 15.0-16.0M in April 2025.

MONTHLY SAAR



Source: NADA

U.S. LIGHT VEHICLE SALES



Source: COX Automotive, NADA, Toyota, S&P Global Mobility

Days' Supply Drops as Demand Accelerates



70

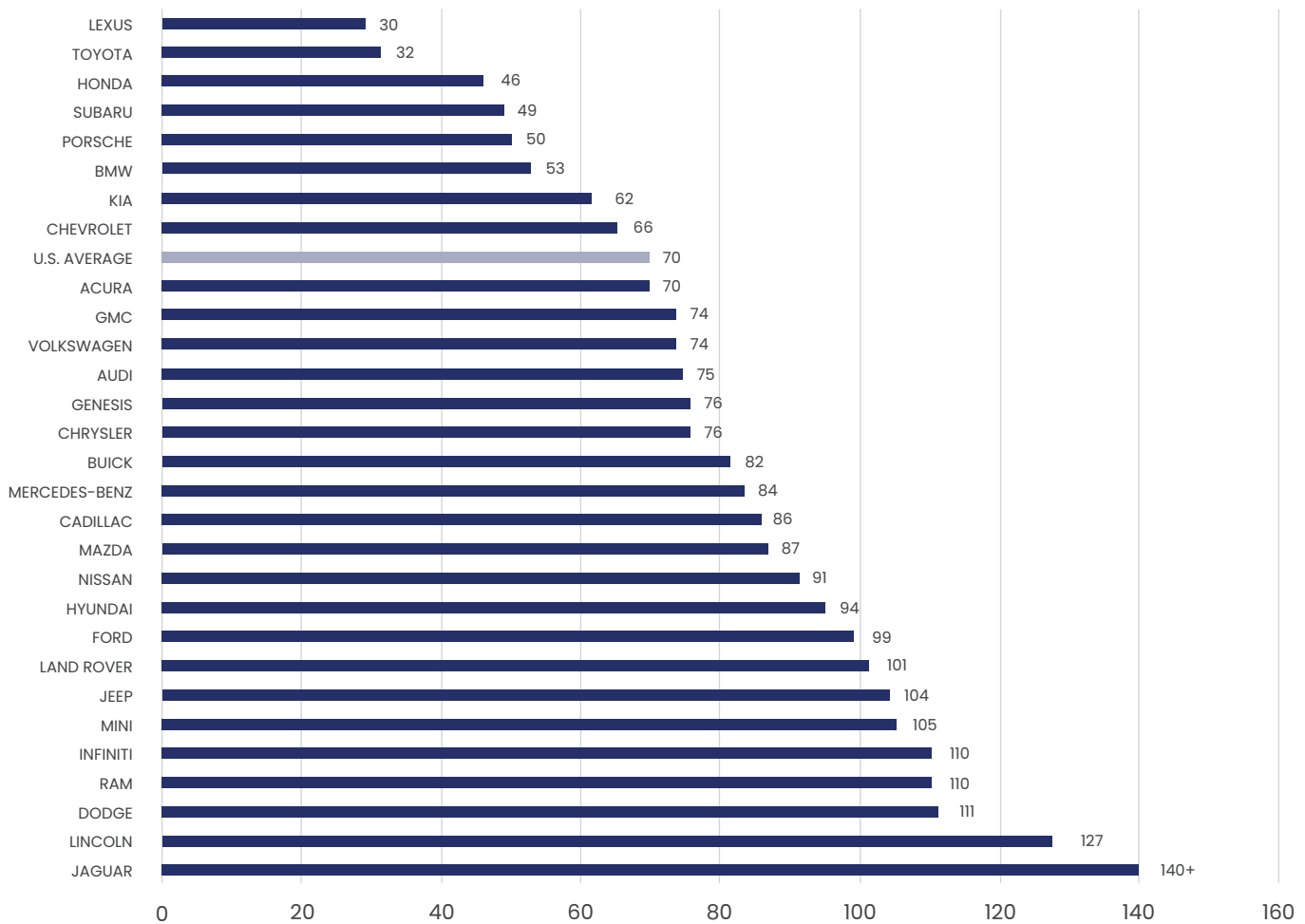
days' supply across
the industry

Inventory levels remained relatively stable to start the year but declined sharply at the end of March, driven by a sales surge of buyers rushing to purchase new vehicles ahead of the anticipated tariff increases. In early April, the average new-vehicle day's supply at U.S. dealerships had fallen to 70 days – down 21 days from the beginning of March and 10 days lower than the same time last year. Current inventory is at the lowest levels seen since 2023. According to Cox Automotive, six brands now report

inventory levels below a 60-day supply, with Lexus and Toyota maintaining the lowest levels among brands we track, followed closely by Honda, Subaru, Porsche and BMW. On the other end of the scale, Jeep, Ram and Dodge, have the highest new vehicle supply among major franchises – all exceeding 100 days. Looking ahead, if auto tariffs do remain, we expect consumers may gravitate towards the brands that have more units in stock and are still for sale at pre-tariff prices. Consumers looking for a Lexus or a Toyota may be the first to feel price increases, assuming Toyota passes through the cost of tariffs to customers.

DAYS' SUPPLY BY FRANCHISE

As of April 2025



Note: Days' supply calculation includes vehicles in dealer inventory and vehicles in-transit

Source: Cox Automotive – vAuto



JOIN OUR BUYER DATABASE

If you are adding dealerships to your existing portfolio, investing in, or looking for your first dealership, we invite you to join our exclusive buyer and investor database.

Most Brands Experienced Sales Gains in Q1

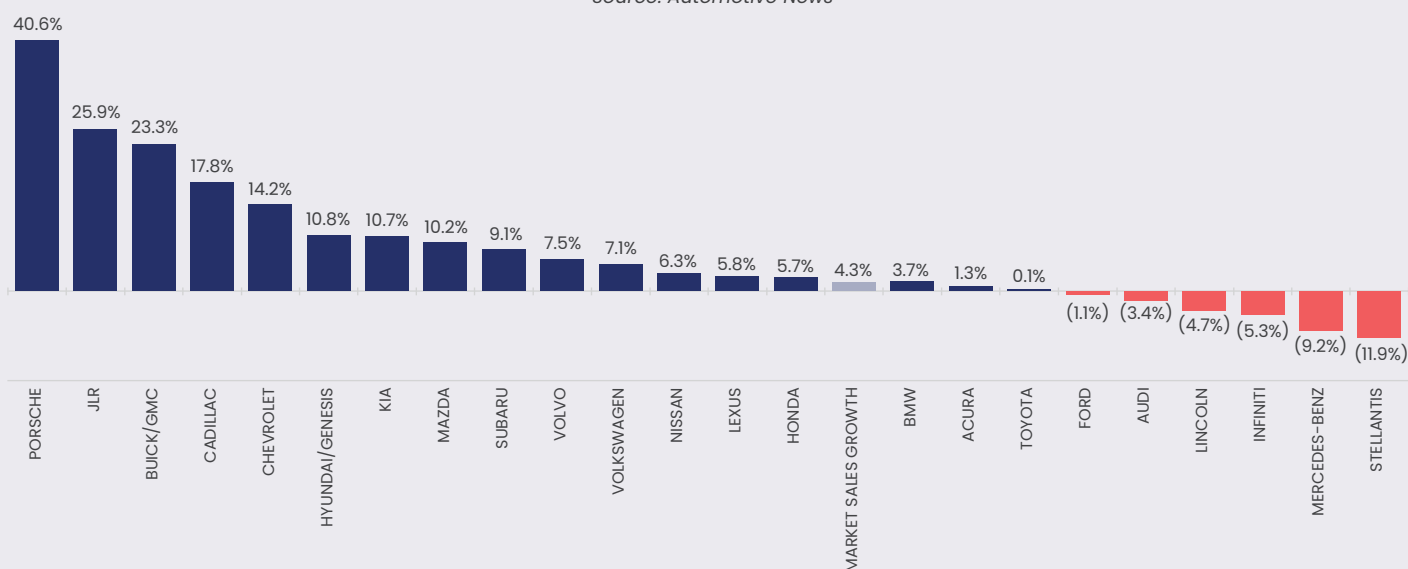
Q1 was a strong quarter for U.S. sales, with March reporting the highest monthly sales volume recorded in four years. But its results may be difficult to replicate later in 2025. Brands leading first quarter gains include Porsche (+40.6%), JLR (+25.9%), followed closely by GM brands including Buick/GMC (+23.3%), Cadillac (+17.8%) and Chevrolet (+14.2%).

In a show of strength, GM experienced segment-leading gains without the promotional pricing offered by rivals Ford and Stellantis in Q1, both of which experienced sales declines during the period. Affordable models like Chevrolet's Trax (+57.0%) and Nissan's Versa (+156.0%) excelled in Q1 '25, gaining popularity thanks to their ~\$20K price points in a vehicle market challenged by affordability issues. On the other end of the spectrum, luxury purchases may have been pulled forward into Q1 in anticipation of tariffs on imported luxury vehicles, as implied by the strong Porsche and JLR gains.

The sales outlook for the remainder of 2025 remains murky, obscured by ever-changing trade policy and nagging customer affordability concerns. If tariffs do take hold and increase the cost of imported vehicles, we would anticipate a significant shift in sales share in favor of OEMs with more domestic production.

% CHANGE IN SALES, Q1 '24 TO Q1 '25

Source: Automotive News



Senator Bernie Moreno and Alan Haig Discuss the Bullish Outlook for Auto Retail

"There are a lot of dealers freaking out over tariffs, but they have been through a lot worse. Starting in the 70's with the gas crisis, the problems with the savings and loans disaster in the 80's, 9-11, the financial crisis, COVID, the chip shortage - **We always came out on top. This is the most robust group of entrepreneurs that have been challenged in so many different ways.**"

— Senator Bernie Moreno (R-Ohio)



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WATCH THE FULL CONVERSATION



New Vehicle Affordability Reaches Best Level in Nearly 4 Years

Before the tariffs became effective, new vehicle affordability was continuing to improve for U.S. consumers. In March 2025, new vehicle affordability reached its lowest level (read: best level) in 45 months, according to Cox Automotive, with buyers spending 36.9 weeks' worth of income to purchase an average new vehicle, down 3.9% from March last year. Despite the improvement, vehicle affordability remains an industry-wide concern, as consumers must work about 10% longer than before the pandemic to afford a new vehicle purchase. If tariffs have a broad impact on vehicle pricing, the affordability gains made over the past two years may be quickly wiped out.

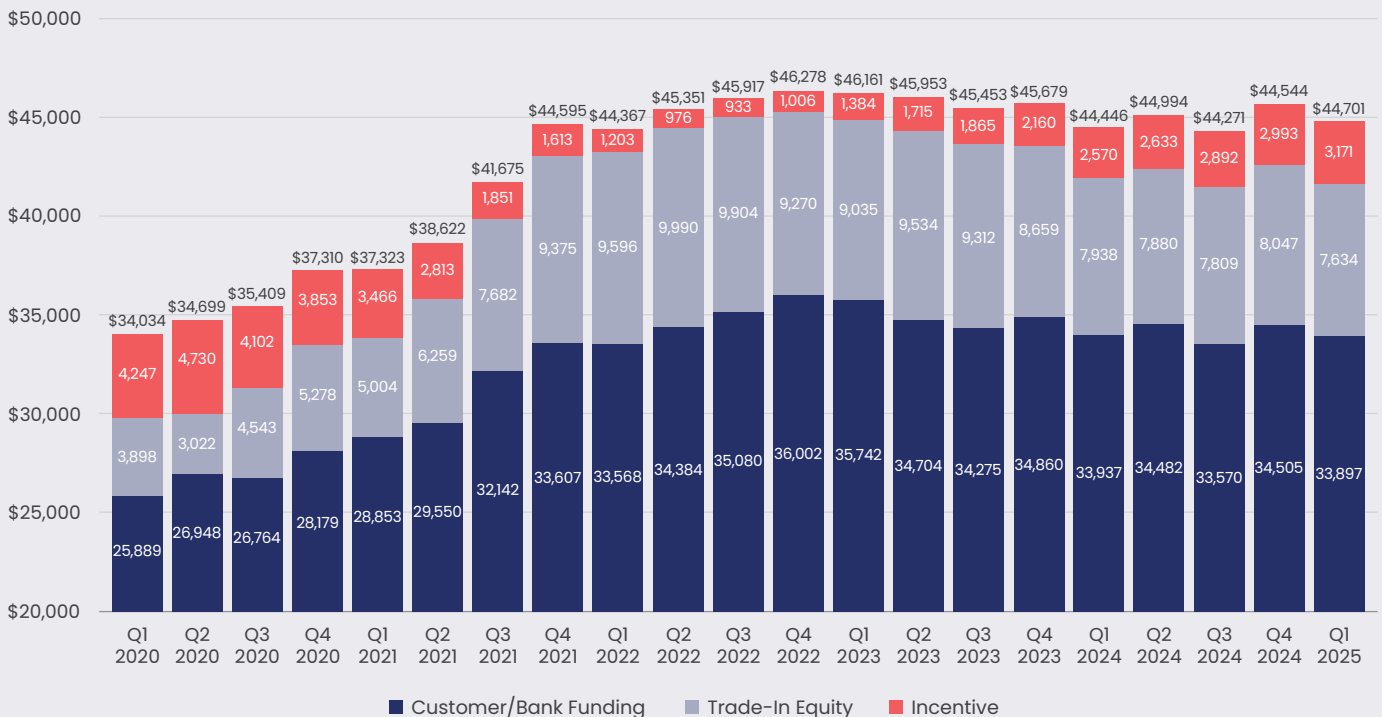
VEHICLE AFFORDABILITY INDEX



Source: Cox Automotive/Moody's Analytics

The chart below shows how consumers have been funding the purchase of vehicles. Note that trade-in equity remains high, and that incentives in Q1 2025 had reached their highest level in four years to help move the rising number of new vehicles in inventory at dealerships. We suspect that OEMs will move to cut these incentives before they raise MSRP since that change will be less noticeable to consumers. So MSRP may not change, but the amount consumers pay will increase. And if used vehicle prices increase as a result of higher prices on new vehicles, then consumers will have more equity in their trade-ins, reducing the impact of higher prices.

NEW VEHICLE TRANSACTION FUNDING



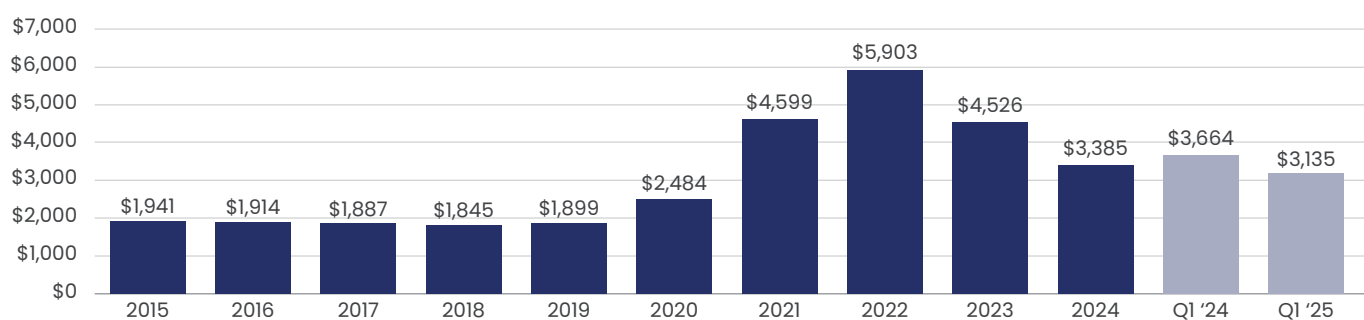
Source: J.D. Power & Haig Partners

New Vehicle Gross Profits Slide 14% Year-over-Year

The average publicly owned auto dealership generated an estimated \$3,135 in front-end gross profit per new vehicle retailed in Q1 2025. This level of profit per new vehicle ("PNR") is 65.1% higher than in 2019, but down 4.9% quarter-over-quarter and 14.4% year-over-year. In Q1, there were a lot of factors influencing new vehicle pricing and subsequent gross profits. In terms of headwinds, winter storms kept customers home in many parts of the country, suppressing demand. Many EVs still required significant discounting in order to sell, eating away at front-end gross profits. And some OEMs terminated incentive programs in March and April, further eroding dealer profitability. The major tailwind for new vehicle gross profits in Q1 was a significant uptick in demand beginning in March as consumers proactively purchased vehicles to get ahead of President Trump's tariffs. Gross profits on new vehicles spiked during the pandemic but have been edging back down over the past 24 months or so. The rate of decline has been slowing and may be nearing a floor. Bank of America's John Murphy pointed this out during the Asbury Automotive Q1 earnings call when he said, "You're kind of reaching what appears to be an asymptotic limit on the downside." For those of you rusty on your geometry, this means margins on new cars may not decline much further.

NEW GROSS PROFIT PER VEHICLE: PUBLIC COMPANY DATA

Weighted Average Same Store Performance - In Current Dollars



Source: SEC Filings

Used Gross Profits Rebound

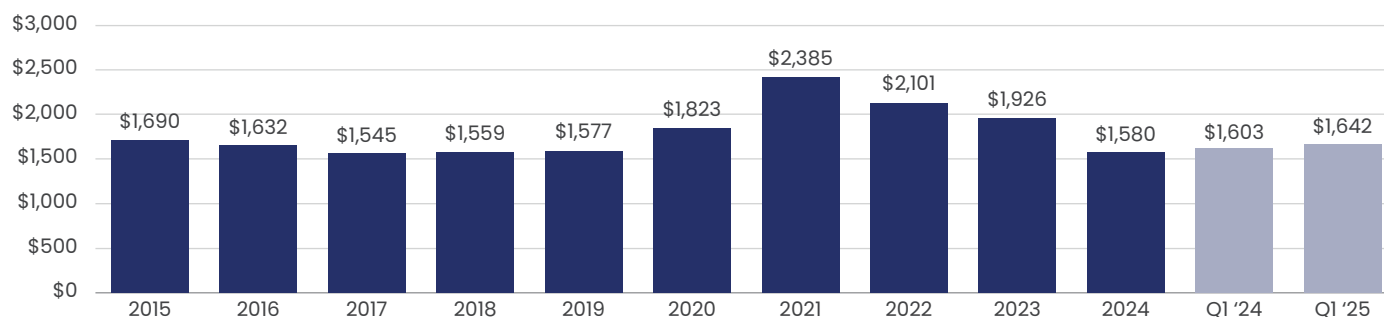
In Q1 2025, the average publicly owned auto dealership earned an average of \$1,642 in front-end gross profit per used vehicle retailed ("PVR"). This used gross profit PVR represents an 8.5% increase quarter-over-quarter and a 4.1% increase year-over-year. Used vehicle demand accelerated heavily in March, rising 19.4% month-over-month according to Cox Automotive's vAuto.

As the effects of these tariffs creep from headlines into window stickers, the higher expected cost of new vehicles has already begun to pique increased demand for used vehicles, and that may give dealers more ability to command higher gross profits on used vehicles.

But taking advantage of a bolstered used vehicle market will not be easy. Many dealer groups, including the publics, are struggling with a dearth of desirable used vehicle inventory – used vehicles between one and four years old. In their first quarter earnings calls, both Sonic and AutoNation stated that used vehicles were a priority going forward in 2025, with the former buying a greater percentage of vehicles off the street and the latter attempting to increase its used vehicle inventory outright.

USED GROSS PROFIT PER VEHICLE: PUBLIC COMPANY DATA

Weighted Average Same Store Performance - In Current Dollars



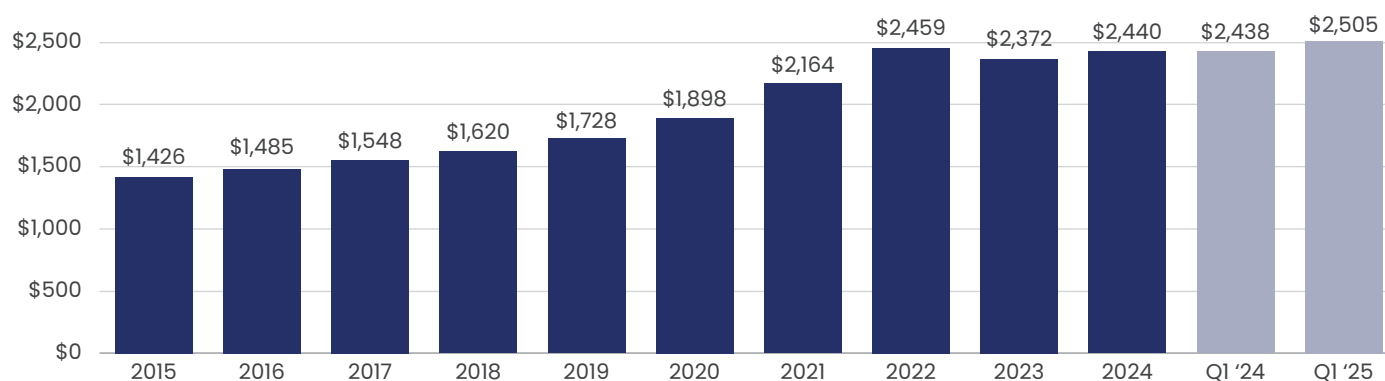
Source: SEC Filings

F&I Profit Grows, Nears Historic Peak

In the first quarter of 2025, the average publicly owned auto dealership earned \$2,505 in finance and insurance (“F&I”) gross profit per vehicle retailed. The F&I PVR recorded in Q1, which is nearly at a historic high, represented a 0.1% increase quarter-over-quarter and a 2.8% increase year-over-year. According to the public dealership groups, this improvement can be attributed to improving the number of F&I products sold per vehicle.

F&I GROSS PROFIT PER VEHICLE: PUBLIC COMPANY DATA

Weighted Average Same Store Performance - In Current Dollars



Source: SEC Filings

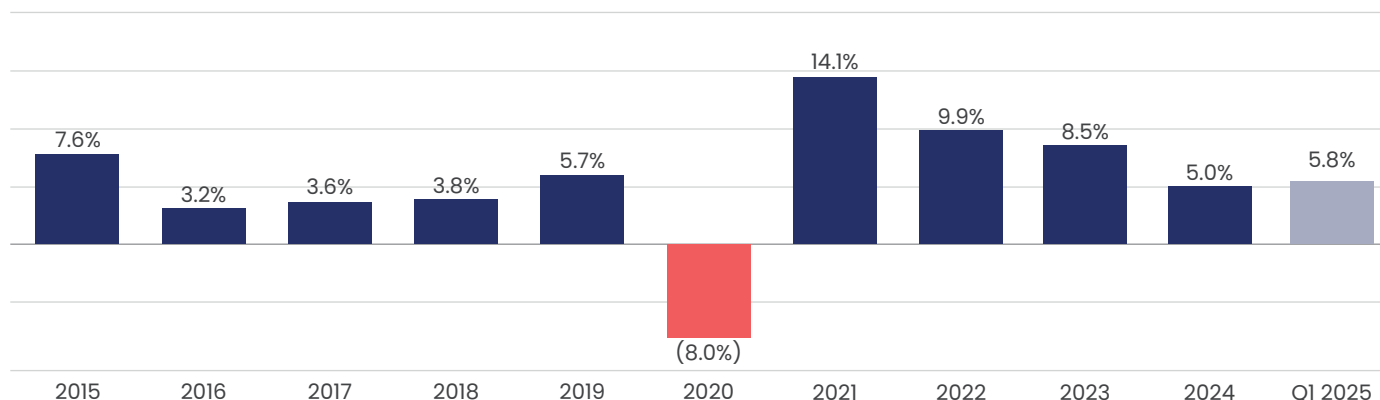
Fixed Operations Profits Boomed in Q1

Fixed operations gross profit increased 5.8% for the publicly traded auto retailers from Q1 2024 to the first quarter of 2025; one of the fastest growth periods on record. The average number of vehicles on the road has continued to grow which is fueling part of this increase. Also, an increasing number of EV repair orders, which are roughly twice as high as comparable ICE RO's, boosted fixed gross profit in Q1. While discussing their Q1 growth on their earnings calls, public company leaders highlighted their focus on technician hiring and retention, with Penske's technicians anecdotally grossing \$30,000 per month. Some large dealer groups, like AutoNation, are investing significantly in mobile service to continue boosting their fixed operations in 2025.

Looking ahead to the end of the year, we anticipate continued robust growth in fixed operations, particularly if tariffs have a significant impact on new vehicle pricing. With new vehicle affordability already an issue and used vehicle affordability poised to become a challenge as well, consumers will likely be forced to continue repairing their current vehicles if they are priced out of purchasing a replacement. Another factor that could influence fixed operations gross profits at dealerships throughout the rest of the year is tariffs on imported auto parts. If dealers find that customers can absorb much of the increased parts cost, their fixed operations departments may be in for a highly lucrative year if they can hold margin.

FIXED OPERATIONS GROSS PROFIT GROWTH: PUBLIC COMPANY DATA

Same Store Performance - In Current Dollars



Source: SEC Filings

Dealership Profits Remained High in Q1

 **4.2%**
decline in profits
from Q1 2024

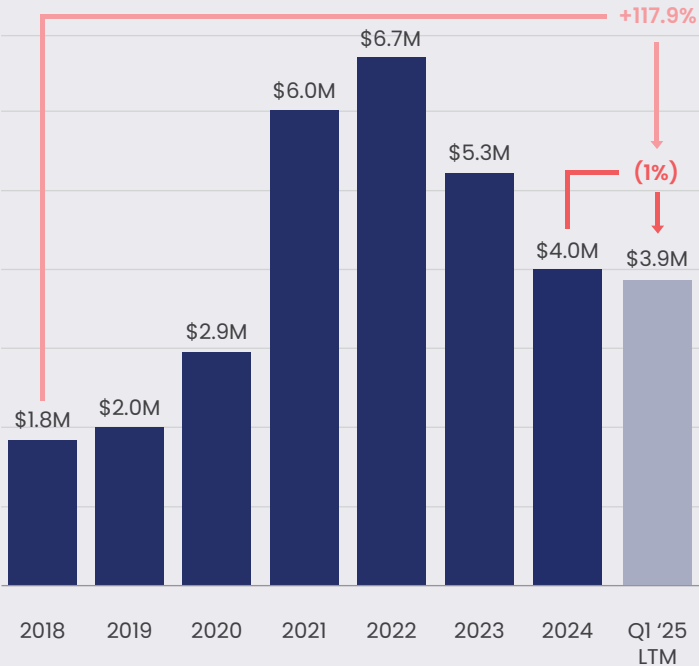
In Q1 2025, the average publicly owned auto dealership generated an estimated \$1.0M in pre-tax profits, a 4.2% decrease from Q1 2024. Public dealerships earned \$3.9M in pre-tax income in the

12-month period ended Q1 2025 and \$4.0M in the 12 months of 2024, a 1.0% decline. Outside of the potential impact of tariffs, we might have hit a new floor for dealership profits.

After declining from the 2022 peak, dealership profits remain nearly double (96.3% higher) than what they were in 2019, the last

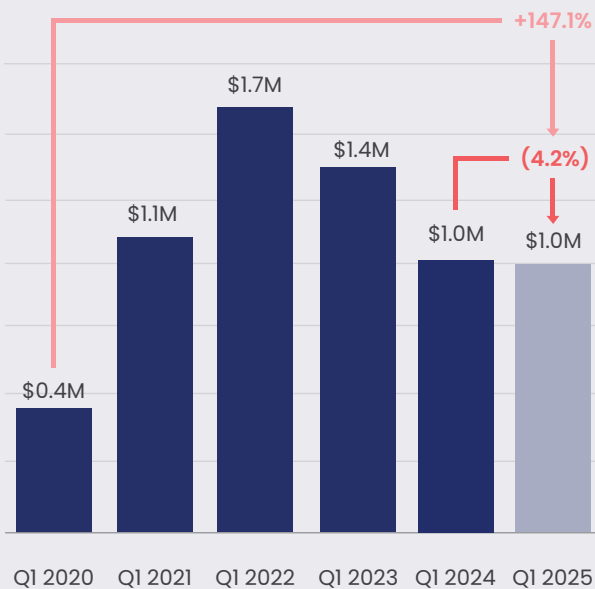
year before COVID. These strong profits are coming from higher margins on new vehicles, higher F&I profits per vehicle and much higher fixed operations. These increases have more than offset higher expenses, such as vehicle floorplan. If OEMs can minimize the impact of tariffs on vehicle prices, then the industry is poised to sell a higher number of new vehicles, plus it seems likely that interest rates will begin to fall near the end of the year. If so, profits could go even higher at dealerships. But if tariffs hit consumers hard, sales and profits per vehicle could decline, leading to lower profits at dealerships. At this point, it is too early to understand which direction the industry is going to take.

ADJUSTED ANNUAL EARNINGS PER DEALERSHIP
Based On Public Group Earnings



Source: Haig Partners & SEC Filings

AVERAGE Q1 EARNINGS PER DEALERSHIP
Based on Public Group Earnings



Source: Haig Partners & SEC Filings

Public Group Earnings consists of the consolidated financial performance of AutoNation, Group 1, Asbury and Sonic. Both Lithia and Penske closed major international acquisitions in Q1 2024, skewing their Q1 2024 SEC data and preventing an accurate comparison.



"The continued stability in F&I at these levels supports our view that F&I per unit will remain structurally higher than pre-pandemic levels even in a challenging consumer affordability environment."

— David B. Smith, CEO & Chairman, Sonic Automotive



GM: A Product Renaissance

General Motors is firing on all cylinders and whirring on all electric motors. In Q1 2025, the All-American OEM posted a 17% sales gain, including double-digit sales growth for all four of its brands. This sales surge allowed GM to pick up 2% more market share in Q1.

Many dealership operations depend upon the sale of new vehicles. Want to sell more used cars? Sell more new cars. Want to sell more parts? Sell more new cars. So, when an OEM hits its stride like GM has, and customers are pouring into showrooms to check out the latest products, that demand then lifts all departments within the dealership. This combinatory effect then leads to higher dealership profits. So, we would like to send our congratulations and a collective industry "thank you" to Mary Barra and her team at GM. The Heartbeat of America is strong today!

Readers of this report may have seen GM's success coming. Since 2023, we have increased the multiples of every one of GM's four brands. Dealers have become increasingly bullish on the future earnings prospects of all GM dealerships, which have translated into stronger offers on GM dealerships when they go up for sale. We like to be right, and we also like it when dealers win. Who doesn't like to have their cake, and eat it, too?

While we commend GM on its strong performance, its recent handling of the 6.2L V8 recall could have been better. Poor communication from GM regarding the recall of their flagship 6.2L V8 led to dealers being unprepared to handle a growing number of highly frustrated consumers. And some frustrated consumers gave up their troubled vehicles and moved to other brands. Had GM adopted the Toyota standard of engine replacements, the issue would likely be resolved by now, and GM could have increased customer loyalty and residual values.



Chevrolet

14% sales gain in Q1. Fastest-growing EV brand in the U.S. with sales up 119% in Q1. "Peak Truck" is going nowhere. Leading Small SUV segment with the Trax, which saw sales grow 57% in Q1. Rapidly growing EV market share thanks to Blazer and Equinox EV. Best Q1 for the Tahoe since 2007, with a 28% gain.



Buick

39% sales gain in Q1. 9 consecutive quarters of year-over-year growth. With many Buick dealers taking buyouts, remaining Buick dealer profits are significantly higher than two to three years ago.



GMC

Best Q1 in brand history. 18% sales gain in Q1. Best Q1 for market share in brand history. New Acadia sales up 73%. Best-ever Q1 for EV sales.



Cadillac

Nearly three straight years of sales growth. Best Q1 since 2008. 21% sales gain in Q1. Industry leading large SUV with the Escalade, including a new electric version. Growing V high-performance division chasing the likes of Mercedes' AMG and BMW's M divisions.

GM MULTIPLES HAVE INCREASED STEADILY SINCE 2023



INVENTORY LEVEL WITHIN TARGET RANGE

Ended Q1 with inventory of 549,312 down 8% from prior quarter.

DISCIPLINED INCENTIVE SPENDING

GM incentives at ~4% of ATP, compared to industry average of ~7% (J.D. Power Pin).

CONSISTENT PRICING

Average Transaction Price of ~\$51,000 up less than 3% year-over-year (GM Estimate).

FRANCHISE VALUATION ESTIMATES

LUXURY FRANCHISE BLUE SKY MULTIPLES

Porsche

Porsche sales soared 40.6% in Q1 2025, claiming the best first quarter sales gain of the franchises we track. Porsche stores continue to be in high demand due to their scarcity, sexy products and high margins. We have some dealer friends that will buy a Porsche store anywhere in the country. But there are some dealers that are beginning to grumble about the difficulty of dealing with Porsche management. Dealers tell us the facility demands are extremely expensive and unnecessary. Large customer lounges and cafes are ghost towns (Porsche customers don't typically wait around for service work to be completed), and dealers are increasingly irritated by Porsche micromanagement. The 911s sell extremely well and dealers fight to get more allocation, but the other models are often hard to sell, particularly the new Macan EV. These issues are all fixable, however, and the Porsche brand remains powerful and aspirational to many dealers as well as customers. **Same multiple range: 9.0x-10.0x.**

Lexus

Lexus achieved its best-ever first quarter in the U.S., with 83,043 vehicles sold, a 5.8% increase year over year. Lexus dealers think the brand is on track to take the luxury crown in 2025, passing BMW. Electrified vehicles accounted for 13.1% of overall sales. The brand has always had the RX crossover that customers love, and now they have the TX and TX hybrids, which are powerful, efficient, and luxurious. Add the new LX, LX hybrid, and GX to the model line, and dealers are impressed. There was a time when the product cadence at Lexus was pedestrian, and dealers complained year after year (for example – comparing the GS350 to the Germans), and they were not happy. Today, Lexus dealers are excited that the division rationalized some models and refreshed two important models. Lexus dealers report a shortage of inventory and limited used vehicles but report some models selling above MSRP and holding gross like they did during COVID. Only the Lexus ES and TX are made in the U.S., which has some dealers concerned. However, Lexus has so far protected prices, so we will see how tariffs impact this brand. Overall, dealers are confident in the division's ability to navigate and be supportive during these changes. The only issue for Lexus dealers is inventory. Just send more... **Same multiple range: 8.0x-10.0x.**

BMW

BMW reported a 3.7% sales increase in Q1 with particularly strong EV performance. With much of its U.S. sales volume manufactured in the U.S., BMW is not as exposed to tariff risk as its competitors. Dealers continue to be bullish on the brand despite occasional frustrations with the OEM. Dealers have reported that BMW has been taking an unreasonable position in connection with warranty audits and unwound reported sales, but overall, dealer sentiment in the channel remains strong. **Same multiple range: 7.5x-9.0x.**

Mercedes-Benz

Mercedes-Benz sales were down 9.2% in Q1 2025 compared to Q1 2024. Dealers are happy to see Adam Chamberlain return as CEO of Mercedes-Benz USA. He has an impressive pedigree with previous stints as VP of Sales and Product Development at MB, President of Aston Martin The Americas and most recently as EVP and COO at Lithia & Driveway, owner of over 300 dealerships across the US. As a result, Mr. Chamberlain understands better than most OEM executives about the importance of a healthy retail network and how to work together with dealers to increase sales at MB USA and improve profits at MB dealerships. This change appears to be a win for consumers, retailers and MB shareholders. Dealers are optimistic that profits will improve thanks to strong new products such as the C-Class, AMG models across its lineup, and a retreat from electric models that were terrible money losers for dealers and unpopular with customers. We have represented two owners in the sale of their MB dealerships so far in 2025, including the sale of Mercedes-Benz of South Austin, TX to Group 1 Automotive. In the right markets, MB dealerships continue to bring nine figure blue sky values. **Same multiple range: 7.25x-8.75x.**

JLR

Land Rover dealers enjoyed a great Q1 as one of the OEMs with the highest sales gains...posting a 25.9% increase. But bright skies have dimmed due to tariffs. LR is one of the most exposed brands to tariffs as it has no production in the US and almost all of its parts are sourced from abroad. If there is a bright spot, it is that limited inventory of the full size Range Rover and Range Rover Sport has allowed dealers to sell some of the slower moving inventory. As of this writing, AN reports that shipments to the US are resuming after a ~30 day pause. On the "J" side of "JLR", the future of Jaguar remains murky. EVs are projected to re-launch the brand in 2026, but dealers are skeptical about the timing of introducing a high-priced EV. Competing brands including BMW, Audi and M-B have had difficulty in the high-end EV segment with units needing to be heavily incentivized to sell. **Same multiple range: 6.25x-7.25x.**

Audi

Audi's U.S. sales slipped 3.4% in the first quarter compared to 2024 while many OEMs, including BMW, reported a YoY increase. Audi's Q1 performance looks worse when considering that Q1 2024 was a highly disappointing quarter. Q1 2025 would also have been worse if not for Audi's 3,200 deliveries of its new Q6 e-tron, which had no sales in the prior year. Audi dealers continue to struggle with elevated inventory levels and disappointing sales of many of its mainstream models. Additionally, with no domestic vehicle production, Audi is more exposed to tariff impacts than many of its competitors. **Same multiple range: 5.5x-6.5x.**

Cadillac

Cadillac sales increased a robust 17.8% in Q1 2025 over the same period a year prior, the fourth-best Q1 sales performance among the brands we track. The strong Q1 performance at Cadillac was driven by a 60% gain in the Escalade sales, including significant sales of the new electrified model, the Cadillac IQ. The 6.2L V8 recall affecting GM will be acute for Cadillac since most Escalades use that engine. Cadillac has also found surprising success in its Lyriq, a welcome surprise given the challenges many similarly priced EVs have faced in the U.S. market. The Lyriq, alongside the Escalade, are carrying the Cadillac brand. High-performing and high-volume Cadillac dealerships are generally located in the states of Texas, Florida, Michigan, New York and New Jersey. **Same multiple range: 3.25x-4.25x.**

Volvo

Volvo sales increased 7.5% in Q1 2025 from the same quarter a year prior. Volvo dealers are among the most concerned heading into the second half of 2025, as the brand faces significant exposure to U.S. tariffs. The company's Chinese ownership, combined with the fact that the EX-90 is the only U.S.-assembled model, has created unease among retailers. The EX-90 itself is positioned as a high-end luxury EV, which does not currently align with consumer demand for more moderately priced electric vehicles. A new CEO has taken the reins at Volvo, though many acknowledge the difficult situation he has inherited. OEM incentives have started to pull back, but dealers expect these programs could return by Q4 to support sales. Fixed operations performance remains steady with warranty work slightly down and customer-pay revenue up. On a brighter note, Volvo's Certified Pre-Owned program continues to gain momentum and is a bright spot for many franchisees. **Same multiple range: 3.0x-4.0x.**

Acura

Acura sales lifted 1.3% in Q1 2025, recovering slightly from disappointing performance in Q1 2024. Acura remains a challenging franchise for dealers. Acura does not appear to be leaning into its domestic production capacity, with one dealer claiming that "nothing is coming from the factory right now,". With Honda and Acura being two of the most insulated brands from potential tariff impacts, this has become highly frustrating to Acura dealers who have watched their throughput per location decrease significantly over the past decade. The OEM seems to be hesitating to commit to a plan despite its current advantage. Additionally, Acura's lineup is about as broad as it has ever been, and dealers like the ADX, creating a sense of confusion around why the brand is not performing better. **Same multiple range: 3.0x-4.0x.**

Lincoln

Lincoln dealers remain cautiously optimistic about the direction of the franchise, especially in light of recent tariff-related concerns. Sales for the brand slipped 4.7% from Q1 2024 to Q1 2025, even despite pulled-forward demand for imported vehicles. The importation of the Nautilus from China has raised some eyebrows, but many believe the brand's "Employee Pricing Built for America" campaign will help offset those headwinds. A refreshed product strategy is expected to be unveiled to the dealer body in October,

which should provide more clarity and confidence moving forward. Notably, the new Navigator is gaining traction with consumers and is expected to be a primary driver of improved dealer profitability in 2025. Additionally, Lincoln has increased incentive support for dealers who demonstrate long-term commitment to the brand. Despite these positive developments, Lincoln continues to face a major challenge: high days' supply. Dealers note that high inventory levels are consistently eroding profitability. Until Lincoln addresses this structural issue, earnings potential will remain suppressed.

Same dollar-value range: \$0M-\$2M.

Infiniti

Infiniti is ending production of the QX-50 and QX-55 in December, which will reduce the brand's lineup to just two nameplates in the U.S. And the next new model won't arrive until the second quarter of 2026. With fewer nameplates, profits at dealerships will hurt even more than they do today as throughput goes down until new name plates are introduced. And with so many operations at dealerships closely tied to the sale of new vehicles, Infiniti dealers will find themselves at an even greater disadvantage than before. We might not have hit bottom yet at this franchise.

Same dollar-value range: \$0M-\$2M.

MID-LINE IMPORT FRANCHISE BLUE SKY MULTIPLES

Toyota

Toyota continues to be the mass-market brand everyone wants. In terms of Q1 performance, Toyota continued to experience steady growth with momentum in electrification. Q1 2025 Toyota U.S. sales were 570,269, making it a small 0.9% year-over-year growth on strong volume. Electrified vehicle sales grew a robust 39.6% year-over-year, accounting for half of Toyota's Q1 sales. Notable growth in the new Tacoma had dealers excited, especially after the move to a new body design for both the Tacoma and 4Runner. Dealers continue to be excited about the product cadence with Toyota, which always seems right on time. The only challenge is limited new inventory and very limited off-lease inventory, leading many dealers to acquire off-street or at auction, which suppresses used gross margin. Toyota continues to claim the highest throughput and units in operation per location, making it the most desired mass-market brand. Toyota is covering supplier tariffs for now and protecting pricing, which is exciting to dealers. Toyota's cash on hand has always been a huge differentiator for the brand and it is paying off now. In an industry faced with tariffs, a war chest is a strategic asset. Overall, dealers remain confident in the product, the leadership, and the overall momentum of the brand, which shows no signs of slowing down. **Same multiple range: 6.5x-8.5x.**

Honda

Honda sales increased 5.7% in Q1 2025, thanks in part to significant gains in Odyssey and Passport sales. This Q1 2025 sales performance adds to a string of wins for Honda, with the 5.7% gain in Q1 2025 adding to 20.9% sales gains experienced in the same quarter a year prior. Fixed operations remain excellent for Honda dealers. But, like Acura, Honda dealers are frustrated that their factory does not seem like it is committing to a growth strategy that capitalizes

on the OEM's domestic production advantage over competing OEMs. Acura and Honda have significant domestic production capacity, which could give the brand and its dealers a structural advantage in coming quarters. If tariffs end up significantly increasing the price of foreign made vehicles, Honda dealerships may be some of the best positioned in the U.S. Demand for Honda dealerships was already high and we see no signs of any change.

Same multiple range: 6.0x–7.0x.

Subaru

Subaru dealers report sales up 9.1% in Q1 2025 over Q1 2024. Rural locations are doing particularly well at holding margins, while their urban counterparts are experiencing modest margin compression. Fixed operations remain flat compared to the previous quarter, indicating consistent performance. A standout highlight has been the launch of the Forester Hybrid, which is performing exceptionally well. Several dealers noted they've maintained a zero-day supply since its debut. Subaru customers are calling for more hybrids and EVs. Subaru's factory support remains consistent, with no major changes to incentive programs or policies. The OEM has also indicated it intends to absorb the majority of any cost increases due to tariffs for the time being. Dealer sentiment remains positive overall, bolstered by Subaru's strong customer loyalty and brand equity. Most believe any negative impacts from tariffs will be limited and short-lived. **Same multiple range: 5.5x–6.5x.**

Kia

Demand for Kia dealerships may be at an all-time high. Kia sales increased 10.7% in Q1 2025 and the OEM extended its record-breaking sales streak to six months in March. Kia claims that retail transactions grew 25% year-over-year at Kia dealerships at the end of the first quarter. In a sign of the times, dealers we spoke to for this report stated that they would rather acquire a high-volume Kia dealership than a high-volume Audi dealership, a comparison that would have been absurd five to ten years ago. U.S. consumers love the styling, features, pricing and powertrain options provided by Kia's current lineup. And U.S. Kia dealers praise the management team. As Kia units in operation grow, so too do fixed operations. Anecdotally, fixed operations performance at Kia dealerships is catching up to that of comparable Honda dealerships. This is particularly impressive given how strong Honda dealerships tend to perform in fixed. Adding to the strength of the brand, Kia is investing significantly in U.S. production, having just opened its new Metaplant America facility in Georgia at a cost of \$7.59B. Localized production will help to insulate the brand from tariffs moving forward. **Same multiple range: 4.5x–5.5x.**

Hyundai / Genesis

Like Kia, Hyundai enjoyed a double-digit sales bump in Q1 2025, with brand sales increasing 10.3% over Q1 2024. Also like Kia, Hyundai set its sixth consecutive monthly sales record in March. Hyundai is investing \$20.5B in domestic production and will also benefit from the recently opened Metaplant America facility in Georgia that it shares with Kia, reducing downside tariff risk for dealers. Tucson, Sante Fe, Elantra N and IONIQ 5 sales contributed to the bulk of the growth, with electrified vehicles representing 26% of Q1 sales. Despite the major and continued growth of Hyundai and Genesis, demand for these dealerships remains below the demand for

Kia, Honda, Subaru or Toyota stores. Existing dealers tell us that Hyundai/Genesis management is difficult to work with, and buyers seeking to acquire Hyundai stores often experience challenges in gaining approval during a buy-sell. Some won't try again... Despite being nearly identical to Kia, Hyundai dealerships trade at a discount, largely due to the difficulty of acquiring them. **Same multiple range: 3.75x–4.75x.**

Mazda

Mazda dealers remain excited about the future with the continued momentum of the brand. Mazda had a best-ever 2024 and started 2025 with a record Q1 selling over 110,000, which is a 10.2% increase year over year. The heart of the brand is the CX-50, which is made in Huntsville, Alabama, and the CX-90. Mazda achieved a best-ever March with over 43K units sold, and this was the best ever for CX-50, CX-70, and CX-90. Mazda has the product mix, performance, and designs that resonate with customers, although it could benefit from hybrids. Dealers are excited about the brand's momentum and overall support. One concern was the volume of imported vehicles vs competitors, but so far, the brand has continued to increase sales volume and has shown support in the face of tariffs. A recent dealer meeting in Texas had attendees excited about the brand's future. **Same multiple range: 3.75x–4.75x.**

Nissan

Nissan sales rose 6.3% in Q1 2025. Nissan has a robust U.S. manufacturing presence with the Rogue, Altima, Pathfinder, Frontier and Murano all produced in either Tennessee or Mississippi. They are continuing with their Japan-built vehicles but they have made some adjustments to the Versa, Sentra and Kicks production that occurs in Mexico reducing trim levels and options that they are producing. The Nissan products that we saw at the New York Auto Show were attractively styled and loaded with features. Nissan is launching a "Get the Car You Want Tariff-Free" campaign that is highlighting their commitment to offering lower prices on the Rogue and Pathfinder. The new stair-step program kicked off last month that dealers are actually excited about because it is giving them decent margins on growing volume. The turnaround appears to have commenced. **Same multiple range: 3.0x–4.0x.**

Volkswagen

Volkswagen sold 7.1% more new vehicles in Q1 2025 than it did in Q1 2024, a middle-of-the-pack performance among midline import franchises. Sentiment across the network was mostly unchanged from Q4 2024. VW dealers are excited by upcoming product, including the ID. Buzz, which promptly had a major recall (the rear seat was too wide?). Average throughput per location is about 50 new vehicles per month, similar to franchises like Chevrolet and Audi. But a lot of frustration remains present in the channel. VW is highly exposed to potential tariff risk, and many of its leading dealers are a part of lawsuits against the OEM's decision to sell its Scout brand direct-to-consumer. We wonder if this plan will be put on hold so that VW can repurpose the factory that is under construction from building Scout products to building Audi and/or VW products. Electric trucks are not performing well in the market right now. **Same multiple range: 3.0x–4.0x.**

DOMESTIC FRANCHISE BLUE SKY MULTIPLES

Chevrolet

Chevrolet dealers remain pleased with strong sales and strong profits. Chevrolet sales grew 14.2% and the brand gained a full point of market share – not an easy accomplishment and a welcome reversal from years of lost share. Dealers tell us they believe Chevrolet has the best model lineup they have ever seen. But not everything is perfect: dealers are currently frustrated by stop-sale orders on 6.2L V8 models, which are typically the highest-grossing units. Big recalls like this are usually great for dealer service shops, but at time of this writing, there were no specifics on how the recall would be handled. Larger Chevrolet dealers are upbeat and encouraged with Chevrolet's product lineup and market share gains, while smaller dealers complain they are at an allocation disadvantage and have difficulty growing their businesses under GM's current system. **Same multiple range: 3.75x–4.75x.**

Ford

Ford is the best positioned OEM to deal with tariffs since it has the highest percentage of its products made in the US. Ford dealers have responded positively to the "America First Pricing" strategy, which has also resonated extremely well with consumers. This program provided several benefits to Ford and its dealer network: boosting market share while reducing days' supply and dissuading dealers from pricing vehicles above MSRP. But despite the excitement around promotional pricing, Ford dealers still have a few concerns. Inventory levels are still not quite where they need to be, and many dealers expect that the program will be extended through July. The F-Series and other trucks continue to serve as the core profit drivers for Ford retailers. However, enthusiasm for EVs has waned significantly, with many dealers reporting a plateau in EV sales and no significant gains in market share. Ford's ordering and program systems also continue to frustrate dealers, with complexity still cited as a key barrier to efficiency. That said, there are efforts underway to simplify processes. Finally, demand remains strong for the Maverick, though supply constraints continue to limit availability. The brand remains desirable and dealers are optimistic about the future, especially with Ford's advantage if the tariffs stick. **Same multiple range: 3.5x–4.5x.**

Buick-GMC

Buick and GMC dealers fared even better than their Chevrolet-dealing cousins, posting a 23.3% gain in sales for Q1. Combined Buick-GMC gained 0.8% market share...almost a full point despite being much smaller than Chevy. Buick sales were up 39.3% as this brand continues to be on fire. With another 135 franchises returned to GM last year, throughput for the average Buick point is up 65%. Given the stellar results over the last few years, it is no surprise that GM's former head of Buick-GMC was recently named president of North America, a move widely applauded by dealers. GMC is going through similar issues with the engine recall...stop sales are frustrating but fixed operations benefit could be lucrative when the fix is provided. **Same multiple range: 3.5x–4.5x.**

Stellantis

In our Q4 report, we showed how Stellantis average transaction prices ("ATP") had risen much faster than the market during 2022 and 2023, playing a big role in significant market share loss. We illustrated how their pricing was improving at the end of last year and now we are pleased to report that pricing discipline is continuing to improve. Headlines reported a 12% drop in Stellantis sales during Q1, but this was primarily driven by a 35% drop in fleet sales. Dealers are reporting improvements in their days' supply of new vehicles and are encouraged that a leadership change will be a positive for the dealer network. Dealers share that recently launched employee pricing incentives should help but new product is needed in order to be regain share. Many core Stellantis models are old. Some dealer groups continue to maintain a moratorium on buying Stellantis stores, while others believe the trough was reached in 2024 and would consider buying into the brand now as a value investment. Buying a Stellantis store in 2025 or 2026 could prove to be a good long-term investment. **Same multiple range: 3.0x–4.0x.**

ARKANSAS

RISER



SOLD TO

**CHRIS CRAIN &
HEATH CAMPBELL**

"We knew that if we were going to sell, John Davis and the Team at Haig Partners was the clear choice to advise and navigate us through this process. They certainly lived up to their reputation for professionalism, discretion, and unparalleled relationships with motivated buyers. In addition, knowing I could count on their involvement from beginning to end to ensure I could continue running our other businesses. It made all the difference. They identified the right buyers in Chris Crain and Heath Campbell, individuals we've known and respected for years. We're confident that the dealership will continue to thrive under their leadership."

- Paul Riser, Former Owner, Riser Chrysler-Dodge-Jeep-Ram FIAT

KEY TAKEAWAYS

The auto retail industry is facing another challenge with the tariffs that have been levied on imported vehicles and parts. But dealers are keeping calm as they know they own businesses that are diversified and highly resilient. Here is what we have observed in the past 30-60 days.

- 1 **Dealership Profits.** Profits appear to have levelled off at about twice what they were before the pandemic.
- 2 **Dealership Blue Sky Values.** Thanks to strong profits and strong demand, blue sky values per dealership also remain elevated at about twice what they were before the pandemic.
- 3 **Dealership Sales Slowed, Temporarily.** There were far fewer dealerships that traded hands in Q1 2025 than in 2024, perhaps due to some paralysis during the presidential election. However, our transaction pipeline at Haig Partners has never been more full so we expect sales will rebound later in 2025.
- 4 **Tariffs Will Cause Problems, But Dealers Will Adjust.** We don't yet know what the impact of tariffs will be as a whole, or on particular OEMs. But auto dealers appear to be calm and trust that they will be able to respond to short term shocks. Dealers remain bullish on the future, waiting for a promised economic boom to occur later in 2025 or 2026.
- 5 **Franchise Insights.** GM brands are doing particularly well right now, offering many fresh models at attractive prices to consumers. Other brands like Land Rover, Toyota and Honda are also doing well. Stellantis has cut fleet sales and vehicle prices, making dealers feel better about their futures.

DOING WELL:



ON THE WAY TO RECOVERY:



- 6 **Risks Remain.** The CARB rules that require a high amount of EV sales starting in 2026 are still in place in many states, although some states are dropping out and going with the Federal regulations. There is pending legislation to cancel the CARB exemption from Federal statutes, but it has not yet passed. And tariffs remain unresolved. If compromises are not reached, vehicle prices will spike to uncomfortable levels. And the greater trade war with China is also ongoing. This means higher prices and inflation for U.S. consumers.

RECORD-SETTING PRICES PAID

Highest Price Paid for BMW Franchise

VISTA
Vista Motor Company



Advised on the Sale

Highest Price Paid for Honda Franchise

South
MOTORS



Advised on the Sale

Highest Price Paid for Toyota Franchise

Al Hendrickson
TOYOTA



Advised on the Sale

Highest Price Paid for Kia Franchise

HOLLYWOOD KIA
KIA



Advised on the Sale

Highest Price Paid for CDJR Franchise

LAKE NORMAN



Advised on the Sale

2025 UPCOMING EVENTS

JUNE 8-11

**Virginia Automobile
Dealers Association -
Sponsor**
Hot Springs, VA

JUNE 8-11

**West Virginia
Automobile Dealers
Association
Convention - Speaker**
White Sulphur Springs, WV

JUNE 19

**Ohio Automobile Dealers Association | Webinar: *Maximizing
the Value of Your Life's Work: Confidential Strategies for
Dealership Owners Considering a Sale* - Speaker**
Virtual, 11am-12pm EDT

JUNE 15-18

**NCADA 90th Annual
Family Convention -
Sponsor**
Park City, UT

JUNE 19-20

**Lane Gorman
Trubitt's Controllers'
Roundtable - Speaker**
Dallas, TX

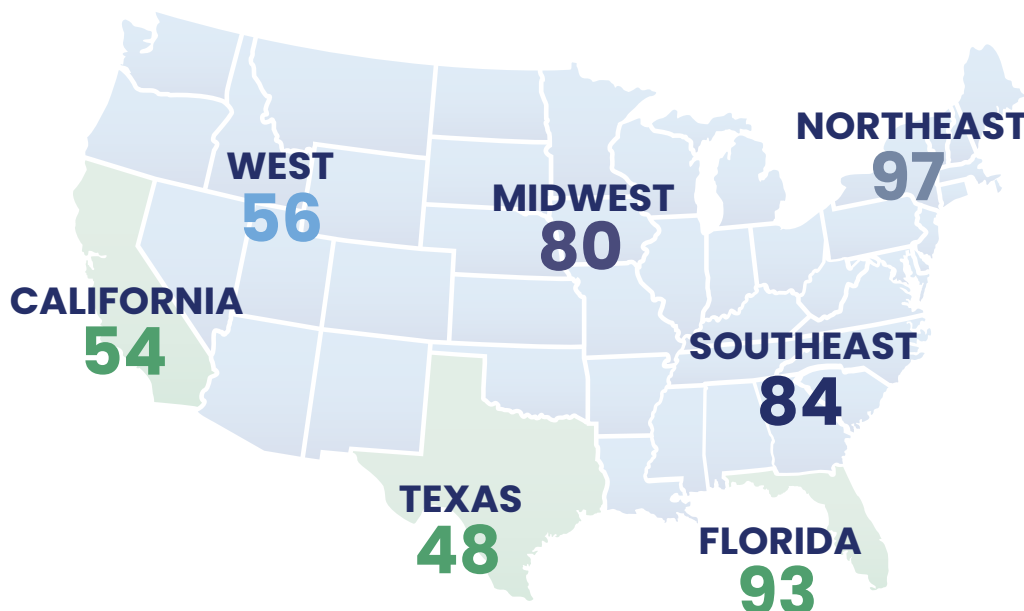
OCTOBER 19-21

**NADC Fall
Conference - Sponsor**
Chicago, IL

OCTOBER 20-21

**AICPA Dealership
Conference - Sponsor**
Indianapolis, IN

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who qualify for the

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NEWS TOP 150 LIST**



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Financial Institutions



\$10B+

in **TRANSACTION
VALUE**



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AUTO RETAIL TRENDS**

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TEXAS

SALE OF
FOUNDATION
WICHITA FALLS

TO

GRUBBS
Family of Dealerships

EXCLUSIVE SELL-SIDE ADVISOR | MARCH 2025

NEW JERSEY

SALE OF
FULLERTON

TO

PERFORMANCE
AUTO GROUP

EXCLUSIVE SELL-SIDE ADVISOR | MAY 2025

MISSOURI

SALE OF
Weiss TOYOTA
of South County

TO

VICTORY AUTOMOTIVE GROUP

EXCLUSIVE SELL-SIDE ADVISOR
SEPTEMBER 2024

NORTH CAROLINA

SALE OF
TOYOTA of North Charlotte

TO

HUDSON
AUTOMOTIVE GROUP

EXCLUSIVE SELL-SIDE ADVISOR
MARCH 2024

WEST VIRGINIA

SALE OF
BALL TOYOTA
CHARLESTON

TO

VICTORY AUTOMOTIVE GROUP

EXCLUSIVE SELL-SIDE ADVISOR
NOVEMBER 2024

MARYLAND

SALE OF
Bill Kidd's

TO

SHEEHY.com
It's Easy!

EXCLUSIVE SELL-SIDE ADVISOR
NOVEMBER 2024

FLORIDA

SALE OF
HOLLYWOOD KIA

TO

MORGAN
AUTOMOTIVE GROUP

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